BEFORE THE DIRECTOR OF

THE ARIZONA DEPARTMENT OF HEALTH SERVICES

In the Matter of: Uncle Harry Corp.	)	Docket No.: 2023C-MMR-T0248-DHS NOTICE OF INTENT TO REVOKE DISPENSARY REGISTRATION CERTIFICATE AND NOTICE OF RIGHT TO REQUEST ADMINISTRATIVE HEARING

I. JURISDICTION

The Arizona Department of Health Services (the "Department") is charged by Arizona Revised Statutes, A.R.S. § 36-132(A)(1), with the power and duty to enforce the body of laws that protect the health of the people of the State of Arizona. In addition, A.R.S. § 36-136(G) authorizes the Director of the Department (the "Director") to "make and amend rules necessary for the proper administration and enforcement of the laws relating to the public health."

The Arizona Medical Marijuana Act (the "AMMA"), A.R.S. § 36-2801 *et seq*., was passed in November 2010 and became effective December 2010. Rules adopted by the Department to implement the AMMA, Arizona Administrative Code ("A.A.C.") R9-17-101 *et seq*., became effective April 14, 2011, as thereafter amended (the "Rules"). *See* A.R.S. § 36-2803 (giving the Department rulemaking authority under the AMMA).

The Department was required to adopt Rules "[g]overning nonprofit medical marijuana dispensaries to protect against diversion and theft[,]" including "[m]inimum oversight requirements," "[m]inimum recordkeeping requirements," and "minimum security requirements." A.R.S. § 36-2803(A)(4); *see also* A.R.S. §§ 36-2804(B)(1)(c), -2806(B) (dispensary must have operating procedures consistent with Rules for oversight, including procedures to ensure accurate record-keeping and adequate security measures). The AMMA and Rules provisions applicable to this matter include the following:

Under A.R.S. § 36-2804.01(A), "[a] nonprofit medical marijuana dispensary agent . . . shall be registered with the [D]epartment before volunteering or working at a nonprofit medical marijuana dispensary." *See also* A.A.C. R9-17-310(A)(6)(a), -310(A)(8)(same).

Under the Rules, "[a] dispensary shall establish and implement an inventory control system for the dispensary's medical marijuana and marijuana products that documents . . . [a]cquisitions according to subsection (B)," which authorizes acquisitions from the dispensary's cultivation site, another dispensary, a licensed adult-use marijuana establishment, a qualifying patient, or a designated caregiver. A.A.C. R9-17-316(C)(1)(b); *see also* A.A.C. R9-17-316(C)(1)(a), (h) (requiring the dispensary to document its inventory of marijuana and marijuana products at the beginning and ending of each day). This includes an inventory control system that identifies the name and registry identification number of the dispensary providing the medical marijuana or marijuana product. *See* A.A.C. R9-17-316(C)(3)(b)(i).

Under A.R.S. § 36-2806(C), "[a] registered nonprofit medical marijuana dispensary shall implement appropriate security measures to deter and prevent the theft of marijuana and unauthorized entrance into areas containing marijuana." A medical marijuana dispensary shall have electronic monitoring, including video cameras that provide "coverage of all entrances to and exits from limited access areas and all entrances to and exits from the building, capable of identifying any activity occurring in or adjacent to the building." A.A.C. R9-17-318(G)(1)(c)(iii)(1). Additionally, a medical marijuana dispensary shall have: (1) a video camera in each grow room capable of identifying any activity occurring within the room in low light conditions, *see* A.A.C. R9-17-318(G)(1)(c)(v); (2) a failure notification system that provides an audible and visual notification of any failure in the electronic monitoring system, *see* A.A.C. R9-17-318(G)(1)(c)(vii); and (3) sufficient battery backup for video cameras and recording equipment to support at least five minutes of recording in the event of a power outage, *see* A.A.C. R9-17-318(G)(1)(c)(viii).

The Department may revoke a nonprofit medical marijuana dispensary's registration certificate if the dispensary is not in substantial compliance with the AMMA and the Rules. A.R.S. § 36-2816(F). In addition, the Department was required to adopt rules governing the procedures

for "suspending or revoking the registration certificate of nonprofit medical marijuana dispensaries that violate [the AMMA] or the [R]ules." A.R.S. § 36-2803(A)(4)(e). Based on this authority, the Department adopted A.A.C. R9-17-322(D), which authorizes the Department to revoke the dispensary registration certificate of a dispensary that:

1. Does not comply with the requirements of the AMMA or the Rules; or
2. Fails to implement the policies and procedures or comply with the statements provided to the Department with the dispensary's application.

II. DISPENSARY REGISTRATION CERTIFICATE HISTORY

Uncle Harry Corp. ("Uncle Harry") applied for and was awarded a dispensary registration certificate (No. 00000110DCDE00541508), effective October 6, 2016 (the "Certificate"). The Non-Profit Medical Marijuana Dispensary is currently located at 17036 N. Cave Creek Rd., Phoenix, AZ 85032 (the "Dispensary"). The Certificate has a current expiration date of March 6, 2025.

III. REASONS FOR DEPARTMENT'S INTENT TO REVOKE THE CERTIFICATE

On January 12, 2023, the Department conducted a compliance inspection at the Dispensary. During the inspection, Department Compliance Officers (the "Compliance Officers") observed six (6) violations of the AMMA and the Rules, which were noted in a Statement of Deficiencies that was subsequently provided to Uncle Harry ("Dispensary SOD"). The Dispensary SOD includes the following violations.

A. Violation of A.A.C. R9-17-310(A)(6)(a) and -310(A)(8)

In violation of A.A.C. R9-17-310(A)(6)(a), the Dispensary failed to "[e]nsure that each dispensary agent or marijuana facility agent associated with the [D]ispensary has the applicable registry identification card or marijuana facility agent license in the dispensary agent's or marijuana facility agent's immediate possession" when the dispensary agent or marijuana facility agent is "[w]orking or providing volunteer services at the [D]ispensary or the [D]ispensary's cultivation site."[1] A.A.C. R9-17-310(A)(6)(a). The Dispensary also failed to ensure that it did "[n]ot allow an

[1] "[I]f a marijuana facility agent as defined in [A.R.S.] § 36-2850 is registered with the [D]epartment pursuant to [A.R.S.] § 36-2855, the person may act in the capacity of a nonprofit medical marijuana dispensary agent without

individual who does not possess a dispensary agent registry identification card . . . or a marijuana facility agent license" to "[b]e employed by the dispensary" or "[p]rovide volunteer services at or on behalf of the dispensary." A.A.C. R9-17-310(A)(8).

An interview with an employee of a third-party contractor revealed that they do not have a Facility Agent card. An interview with FA2 revealed that the employee of the third-party contractor was working under their supervision while at the cultivation site. However, security footage revealed that the contracted employee was not supervised by FA2 or any other employee at all times while working around marijuana. Facility Agents include all employees and volunteers. There is no exception for an employee or volunteer working under the supervision of another Facility Agent.

B. Violation of A.A.C. R9-17-316(C)(1)(b) and -316(C)(3)(b)(i)

The Dispensary did not "implement an inventory control system" that documents acquisitions from other dispensaries. A.A.C. R9-17-316(C)(1)(b). The Dispensary failed to "establish and implement an inventory control system for the [D]ispensary's medical marijuana and marijuana products that documents" "[t]he name and registry identification number of the [D]ispensary providing the medical marijuana or marijuana product," which is necessary to acquire "medical marijuana or a marijuana product from another dispensary or a marijuana establishment." A.A.C. R9-17-316(C)(3)(b)(i).

An observation of the cultivation site revealed that the Dispensary did not implement an inventory control system that includes the name and registry identification number of the marijuana product in order to acquire medical marijuana product "seeds" from another dispensary or a marijuana establishment. Compliance Officers discovered that the Dispensary only documents marijuana product "seeds" once they are planted and does not document all marijuana product "seeds" upon intake.

During an interview with FA3, it was reported that FA3 was told not to inventory any of the seeds in any inventory system until the seeds were planted. FA3 revealed that there were not

registering pursuant to [the AMMA]." A.R.S. § 36-2804.01(F).

any records that included a shipping manifest to log and inventory the seeds stored at the cultivation site.

C. Violation of A.A.C. R9-17-318(G)(1)(c)(iii)(1)

The Dispensary failed to have "[e]lectronic monitoring" that includes "[v]ideo cameras [p]roviding coverage of all entrances to and exits from limited access areas and all entrances to and exits from the building" that are capable of identifying any activity occurring in or adjacent to the building" in order to "prevent unauthorized access to medical marijuana at the [D]ispensary and, if applicable, the [D]ispensary's cultivation site." A.A.C. R9-17-318(G)(1)(c)(iii)(1).

Security footage revealed that the cameras in room four were not able to provide coverage of all entrances to and exits from the limited access area or activity occurring in the room. In fact, it appeared to the Compliance Officers that the cameras in room four were non-operational.

An interview with FA1 revealed that the cameras were still operational and recording; however, FA1 did not have the password to access them and their footage could not be reviewed.

D. Violation of A.A.C. R9-17-318(G)(1)(c)(v)

The Dispensary failed to have "[e]lectronic monitoring" that includes a "video camera in each grow room capable of identifying any activity occurring within the grow room in low light conditions" in order to "prevent unauthorized access to medical marijuana at the [D]ispensary and, if applicable, the [D]ispensary's cultivation site." A.A.C. R9-17-318(G)(1)(c)(v).

Security footage revealed that the video cameras in grow room 3 are not capable of identifying any activity occurring within the grow room in low light conditions.

E. Violation of A.A.C. R9-17-318(G)(1)(c)(vii)

The Dispensary failed to have "[e]lectronic monitoring" that includes a "failure notification system that provides an audible and visual notification of any failure in the electronic monitoring system" in order to "prevent unauthorized access to medical marijuana at the [D]ispensary and, if applicable, the [D]ispensary's cultivation site." A.A.C. R9-17-318(G)(1)(c)(vii).

A review of the electronic monitoring system revealed that the failure notification system could not provide an audible notification when a camera was pulled from the DVR. An interview

with FA1 revealed that the cultivation site lost power earlier in the week and that may have changed the settings on the security equipment.

F. Violation of A.A.C. R9-17-318(G)(1)(c)(viii)

The Dispensary failed to have " [s]ufficient battery backup for video cameras and recording equipment to support at least five minutes of recording in the event of a power outage" in order to "prevent authorized access to medical marijuana at the [D]ispensary and, if applicable, the [D]ispensary's cultivation site." A.A.C. R9-17-318(G)(1)(c)(viii).

An observation of the electronic monitoring system's battery backup revealed that the battery could only support two minutes of recording in the event of a power outage.

IV. FINDINGS, NOTICES, AND INSTRUCTIONS TO REQUEST A HEARING

YOU ARE HEREBY NOTIFIED that based on the foregoing and pursuant to A.R.S. § 36-2816(F) and A.A.C. R9-17-322(D), the Department intends to revoke Uncle Harry's Certificate (No. 00000110DCDE00541508) for failure to comply with the AMMA and the Rules as set forth herein.

YOU ARE ADVISED that you have the right to request a hearing before the Arizona Office of Administrative Hearings and to have an Administrative Law Judge review this Notice of Intent to Revoke Dispensary Registration Certificate ("Notice"). A.R.S. § 41-1092.03(B). You may request a hearing by submitting a written request to the Clerk of the Department, Arizona Department of Health Services, **within thirty (30) calendar days** after this Notice is received. If you submit a timely request for a hearing, you will be given an opportunity at the hearing to respond to this Notice and to present evidence and argument on all relevant issues. A.R.S. § 41-1092.07(D). You have the right to be represented by counsel or to proceed without counsel. A.R.S. § 41-1092.07(B).

IF YOU TIMELY REQUEST A HEARING, YOU ALSO MAY REQUEST that the Department hold an informal settlement conference by submitting a written request to the Department **no later than twenty (20) calendar days** before the hearing scheduled in the matter. *See* A.R.S. § 41-1092.06(A). Such request shall be sent to Megan Whitby, Deputy Assistant

Director, Public Health Licensing, Arizona Department of Health Services, 150 N. 18th Ave., Suite 410, Phoenix, Arizona 85007.

IF YOU DO NOT TIMELY REQUEST A HEARING, the Department's revocation of Uncle Harry's Certificate (No. 00000110DCDE00541508) **will be automatically effective immediately upon the expiration of the thirty (30) day period following receipt of this Notice,** and the Department's revocation of Uncle Harry's Certificate will not be subject to judicial review. A.R.S. §§ 12-902(B), 41-1092.08(H).

DATED this 19th day of July, 2023.

ARIZONA DEPARTMENT OF HEALTH SERVICES

McKenna Baker
Director's Designee

ORIGINAL filed this 19th day of July, 2023, with:

Clerk of the Department
Arizona Department of Health Services
150 N. 18th Ave., Ste 200
Phoenix, AZ 85007

COPY of the foregoing mailed certified mail,
return receipt requested this 19th day of July, 2023 to:

Ramzi Dugum, Owner
Michael Anton, Owner
Uncle Harry Corp.
2937 W. Thomas Rd.
Phoenix, AZ 85017

COPIES of the foregoing sent by electronic/interdepartmental/
regular mail this 19th day of July, 2023, to:

Ramzi Dugum, Owner
Michael Anton, Owner
Uncle Harry Corp.
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